HOUSE BILL 1296
By Powell

SENATE BILL 1157

By Kyle

AN ACT to amend Tennessee Code Annotated, Section 8-36-701, relative to cost-of-living adjustments for beneficiaries of the retirement system.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 8-36-701, is amended by adding the following new subsection:

(e)

(1) Effective July 1, 2025, if, in any fiscal year, there are over-collections and there is a percentage increase in the consumer price index, as determined in accordance with subdivision (a)(1), of at least one-half of one percent (0.5%), then in lieu of the adjustments provided in subsections (a) and (b), the retirement allowance payable to each beneficiary in receipt of an allowance prior to the July 1 next following must be increased commencing on such July 1 by an amount determined by multiplying the beneficiary's then-current retirement allowance by such percentage. Notwithstanding this subdivision (e)(1), if the percentage is one-half of one percent (0.5%) or more but less than one percent (1%), the percentage must be rounded to one percent (1%).

(2) If the percentage increase in the consumer price index is less than one-half of one percent (0.5%), then a retirement allowance increase is not granted pursuant to this subsection (e).

(3) On or before November 1, 2025, and on or before each subsequent November 1, the commissioner of finance and administration shall determine the amount of over-collections, if any, during the prior fiscal year. The commissioner

shall report this determination to the board of trustees. If over-collections are reported, then the board shall implement the increase pursuant to this subsection (e).

(4) Notwithstanding another law to the contrary, this subsection (e) does not apply to individuals who are members of the retirement system by virtue of their employment with any employer participating in the retirement system pursuant to chapter 35 of this title unless the governing body of any such employer passes a resolution to accept the associated liability and costs to provide such benefits. This increase in benefits becomes effective following the adoption of the resolution. Retroactive benefits must not be paid under this subsection (e).

(5) As used in this subsection (e), "over-collections" means state tax revenue collected for a fiscal year above the authorizations, allocations, and appropriations approved in the general appropriations act and any supplemental appropriations act for that fiscal year.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.